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Sign. of Student

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Room No. _____

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END SEMESTER EXAMINATION, MAY-JUNE 2018

M. B. A.
FINANCIAL MANAGEMENT
MBA 202

Time: 3:00 Hrs.

M.M.: 100

- Note:** 1. This paper consists of three parts: **Part-A, Part-B & Part-C** respectively.
2. **Part-A** is compulsory of **30 marks**, having objective/fill in the blanks/true and false/matching type of questions. Time allotted for **Part-A** is **40 minutes**. Student has to answer the question of **Part-A** on the paper itself.
3. **Part-B and Part-C** consists of **40 marks and 30 marks** respectively. Student has to attempt 8 questions from **Part-B** and 3 questions from **Part-C**. Time allotted for **Part-B and Part-C** is **2:20 hours**.

PART-A

1. Answer the following

30

A : Indicate True or False:

5 x 1

- | | |
|--|-------------------|
| (i) Employee stock offer is an example of agency costs. | True/False |
| (ii) Pecking order theory puts equity as the top priority for issuing capital. | True/False |
| (iii) Excessive financial leverage leads to business risk. | True/False |
| (iv) Higher debtor turnover leads to higher collection period | True/False |
| (v) Economic Value Added measures the surplus return over cost of capital | True/False |

B: Fill in the Blanks:

10 x 1

- | | |
|--|--|
| (i) Financial Management aims at _____ maximization. | |
| (ii) Profitability Index of more than one would lead to _____ the project. | |
| (iii) Scenario Analysis considers _____ change in value drivers. | |
| (iv) Investor will demand a _____ return from security with higher beta. | |
| (v) _____ value of assets is considered to find the opportunity cost. | |
| (vi) Operating leverage may lead to _____ risk. | |
| (vii) Floatation cost leads to _____ in cost of equity. | |

P.T.O.

- (viii) To get the market price of a share, EPS should be multiplied by _____
- (ix) Two firms in same line of activity lead to _____ merger.
- (x) Stock split can boost _____ for the share.

C : Write short answer of the following questions :

5 x 2

- (i) What is discounted payback period?

- (ii) Define Risk Adjusted Discount Rate.

- (iii) What are floatation costs?

- (iv) Explain the concept of bonus shares

- (v) What do you understand by market capitalization?

D. Tick the best alternative:

5 x 1

- (i) If you are going to be receiving the annuity payments, which annuity would you choose
- | | |
|-----------------|-----------------------|
| (a) Annuity due | (b) Ordinary annuity |
| (c) Can't say | (d) Either of the two |
- (ii) Of the following different types of securities, which is typically considered most risky?
- | | |
|--------------------------------------|--------------------------------------|
| (a) long-term corporate bonds | (b) long-term government bonds |
| (c) common stocks of large companies | (d) common stocks of small companies |
- (iii) Cost of capital is commonly used interchangeably with all of the following terms EXCEPT
- | | |
|---|--|
| (a) the firm's required rate of return | (b) the hurdle rate for new investments |
| (c) the internal rate of return for new investments | (d) the firm's opportunity cost of funds |
- (iv) An independent project should be accepted if it
- | | |
|--|--|
| (a) produces a net present value that is greater than or equal to zero | (b) produces a net present value that is greater than the equivalent IRR |
| (c) has only one sign reversal | (d) produces a profitability index greater than or equal to zero |
- (v) Advantage of utilizing short-term debt to finance the acquisition of short-term assets?
- | | |
|---|--|
| (a) Interest rates on short-term debt are usually lower than interest-rates on long-term debt | (b) exposes the firm to less risk |
| (c) improves the firm's debt ratio | (d) increases the firm's sustainable growth rate |

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PART-B

Answer any eight questions from the following:

8 x 5

2. Explain the concept of MIRR with its significance.
3. Discuss the Certainty Equivalent approach in risk management
4. Suppose a company uses only debt and internal equity to finance its capital budget and uses CAPM to compute its cost of equity. Company estimates that its WACC is 12%. The capital structure is 75% debt and 25% internal equity. Before tax cost of debt is 12.5 % and tax rate is 20%. Risk free rate is $R_f = 6\%$ and market risk premium ($R_m - R_f$) = 8%: What is the beta of the company?
5. Explain the CAPM approach for calculating the cost of equity.
6. Bring out the difference between operating and financial leverage
7. What do you understand by Economic Order Quantity (EOQ)?
8. Explain the significance of Cash Budget.
9. What are some of the costs associated with management of receivables
10. What are the prime motives for mergers and acquisitions?
11. Discuss why NPV is considered superior over IRR as the technique for project appraisal.

PART-C

Answer any three questions from the following:

3 x 10

12. Discuss some of the approaches used for corporate valuation.
13. A Limited Company has the following capital structure:

Equity share capital (2,00,000 shares)	Rs. 40,00,000
6% preference shares	10,00,000
8% Debentures	30,00,000
Total	80,00,000

The market price of the company's equity share is Rs. 20. It is expected that company will pay a dividend of Rs. 2 per share at the end of current year, which will grow at 7 per cent for ever. The tax rate may be presumed at 50 per cent.

You are required to compute the weighted average cost of capital

14. Consider two mutually exclusive projects X and Y with identical initial outlays of \$600,000 and useful lives of 5 years. Project X is expected to produce an after-tax cash flow of \$180,000 each year. Project Y is expected to generate a single after-tax net cash flow of \$1,015,000 in year 5. The discount rate is 14 percent.
 - a. Calculate the net present value for each project.
 - b. Calculate the IRR for each project.
 - c. What decision should you make regarding these projects?
15. A firm has sales of Rs. 10,00,000, variable cost of Rs. 7,00,000 and fixed costs of Rs. 2,00,000 and debt of Rs. 5,00,000 at 10% rate of interest. What are the operating, financial and combined leverages.
16. Discuss some of the factors affecting dividend policy of a firm.